Falcon Distribution (Revision 2)

Investment / Sales Offering Memorandum and Underwriting Reconciliation | Industrial | Indianapolis, IN | Revised certified roll as of 2026-09-01 | Supersedes the 2026-08-31 version, which remains in the audit archive | Original fictional evaluation material; no real transaction

Summary of Changes in This Revision

This revision applies revision-notice.pdf and rent-roll-revised.xlsx. Three things changed: (1) the revised certified rent roll dated 2026-09-01 supersedes the 2026-08-31 roll, with Suite 002 remaining active and its scheduled monthly rent increased by $225, from $14,600 to $14,825; (2) the initial sizing rate increased by 75 basis points, from 7.0000% to 7.7500%; and (3) the capitalization rate increased by 25 basis points, from 6.2500% to 6.5000%. All other lease details, underwriting rules, expense amounts, loan tests, fees and the $7,800,000 payoff are unchanged, and prior executed Suite 001 terms continue to apply at $14,450 per month.

Net effect: gross potential rent rises $2,700 to $1,405,500 and NOI before reserves rises $2,488 to $905,100, but the 25 bp cap rate increase reduces capitalization value by $517,176 to $13,924,619 and the 75 bp sizing rate increase raises the debt service constant from 0.07983630 to 0.08596947, cutting the DSCR-constrained loan. Maximum loan falls $620,387 to $8,400,194 (DSCR still binding) and net cash-out falls $614,183 to $471,192, which remains positive, so there is still no refinance shortfall.

Unaffected facts preserved: 8 suites and 176,060 SF; 7 active and 1 vacant suite (Suite 008, 22,000 SF); unit and area occupancy of 0.8750; zero pending suites; all expirations 2029-08-31; tax $147,294, insurance $49,098, other recurring expenses $196,392, 3% management fee and $300 per suite reserves; 65% LTV, 1.25x DSCR and 9% debt yield tests; 1% origination fee and $45,000 closing costs; insurance general liability limit $2,000,000; reported T-12 NOI $869,736. No photographs, asking price, market comparables, appraisal or sponsor history is supplied, and none has been assumed.

Approved copy preserved verbatim: "Source-backed analysis. Assumptions remain subject to diligence."

Item	Prior	Revised	Change
Controlling roll date	2026-08-31	2026-09-01	Superseded
Suite 002 monthly rent	$14,600	$14,825	+$225
Gross potential rent	$1,402,800	$1,405,500	+$2,700
Annual in-place rent	$1,227,600	$1,230,300	+$2,700
Underwritten EGI	$1,335,460	$1,338,025	+$2,565
NOI before reserves	$902,612	$905,100	+$2,488
NCF after reserves	$900,212	$902,700	+$2,488
Capitalization rate	6.2500%	6.5000%	+25 bps

Item	Prior	Revised	Change
Capitalization value	$14,441,795	$13,924,619	-$517,176
Sizing rate	7.0000%	7.7500%	+75 bps
Maximum loan	$9,020,580	$8,400,194	-$620,387
Net cash-out	$1,085,375	$471,192	-$614,183

Executive Summary

Falcon Distribution is an eight-suite industrial property in Indianapolis, Indiana totaling 176,060 rentable square feet across three suite formats. The revised certified rent roll dated 2026-09-01 shows seven suites in active possession and one vacant suite (Suite 008, 22,000 SF), for unit occupancy of 0.8750 and area occupancy of 0.8750 (154,060 of 176,060 SF). Annual in-place contractual rent from the seven active suites is $1,230,300, reflecting the $225 per month increase at Suite 002.

Underwritten on the instructed basis, all-suite scheduled rent of $117,125 per month annualizes to $1,405,500 of gross potential rent. After a 5% economic loss and $350 per suite of other income, underwritten EGI is $1,338,025. Operating expenses of $432,925 (tax $147,294, insurance $49,098, other recurring $196,392 and a 3% management fee of $40,141) produce NOI before reserves of $905,100; after $2,400 of replacement reserves, net cash flow is $902,700. Capitalized at the revised 6.5000%, value is $13,924,619.

Debt sizing at the revised 7.7500% rate (still the greater of the 6.1000% note rate and the revised floor) over 30 years produces a maximum loan of $8,400,194, constrained by the 1.25x DSCR test; the LTV limit is $9,051,003 and the debt yield limit is $10,030,003. After the 1% origination fee of $84,002, $45,000 of closing costs and the $7,800,000 payoff, net cash-out is a positive $471,192. Implied LTV is 0.6033, implied NCF debt yield is 0.1075 and DSCR is 1.2500x.

Source-backed analysis. Assumptions remain subject to diligence.

Metric	Value	Source
Total suites	8	rent-roll-revised.xlsx A5:A12
Total area (SF)	176,060	rent-roll-revised.xlsx C5:C12
Occupied suites / area	7 / 154,060 SF	rent-roll-revised.xlsx D5:D12
Unit / area occupancy	0.8750 / 0.8750	Computed
Annual in-place rent	$1,230,300	rent-roll-revised.xlsx E5:E11
Gross potential rent	$1,405,500	rent-roll-revised.xlsx E5:E12; underwriting-instructions.pdf p.1
Underwritten EGI	$1,338,025	Computed

Metric	Value	Source
NOI before reserves	$905,100	Computed
NCF after reserves	$902,700	Computed
Capitalization value at 6.5000%	$13,924,619	revision-notice.pdf p.1
Maximum loan (DSCR-bound)	$8,400,194	Computed
Net cash-out	$471,192	Computed
Reported T-12 NOI	$869,736	operating-statement.pdf p.1

Property and Suite Mix

The property comprises eight demised industrial suites in three formats. Per the manager's cover note, groups A, B and C correspond in order to Small suite, Standard suite and Large suite. Suite areas, counts and formats are unchanged by the revision; only Suite 002's scheduled rent changed.

No photographs, site plan, building age, clear height, dock configuration, address or parcel data are supplied; these remain explicitly unknown rather than estimated.

Group	Format	Suites	Occupied	Area SF	Monthly rent
A	Small suite	3	3	65,640	$14,450 each
B	Standard suite	3	2	66,000	$14,825 / $14,600 / $14,600
C	Large suite	2	2	44,420	$14,875 each
Total	All formats	8	7	176,060	$117,125 aggregate

Lease and Occupancy Analysis

The revised certified roll dated 2026-09-01 controls. Seven suites are in active possession; Suite 008 (Standard suite, 22,000 SF, scheduled rent $14,600 per month) remains vacant. Unit occupancy is 7 of 8 (0.8750) and area occupancy is 154,060 of 176,060 SF (0.8750). No suite carries a pending, unpossessed status, so pending units are zero rather than unknown. Suite 002 was already active in the prior roll and remains active; the revision changes only its scheduled rent, so occupancy metrics are unchanged.

The manager's leased headline counts occupied plus unpossessed pending occupants as leased. That methodology overstates physical occupancy in principle and is flagged as a risk; because the revised roll shows no pending suites, it has no numerical effect on the occupancy figures reported here, which rest on certified possession status.

Suite 001 continues at $14,450 per month for 21,880 SF, expiring 2029-08-31, with a $28,900 security deposit and no free-rent concession. The revision notice states that prior executed Suite 001 amendments continue to apply; the packet's only Suite 001 documents are the executed lease at $14,450 and the manager confirmation dated August 31, 2026 that no amendments or new concessions affect the suite, and the revised roll also shows $14,450, so all three sources agree. The 2026-06-30 archive roll (Suite 001 at $14,375) remains stale and unused. No unsigned rent proposal appears anywhere in the packet; the Suite 002 increase arrives through the manager's certified roll and the revision instruction rather than through an unsigned proposal, although the underlying signed amendment document for Suite 002 is not included and is listed as missing diligence.

All active leases expire 2029-08-31, about 36 months after the revised as-of date. Under the packet definition (an active suite expiry within the next 12 months), there is no near-term rollover; the single-date expiry of the entire roll in 2029 remains a longer-dated concentration matter.

Suite	Area SF	Status	Monthly rent	Annual rent	Expiration
001 (A)	21,880	active	$14,450	$173,400	2029-08-31
002 (B)	22,000	active	$14,825	$177,900	2029-08-31
003 (C)	22,210	active	$14,875	$178,500	2029-08-31
004 (A)	21,880	active	$14,450	$173,400	2029-08-31
005 (B)	22,000	active	$14,600	$175,200	2029-08-31
006 (C)	22,210	active	$14,875	$178,500	2029-08-31
007 (A)	21,880	active	$14,450	$173,400	2029-08-31
008 (B)	22,000	vacant	$14,600	$175,200	2029-08-31
Total	176,060	7 active / 1 vacant	$117,125	$1,405,500	All 2029-08-31

Historical versus Underwritten Financials

Historical figures are unchanged by the revision. The trailing twelve months ended 2026-08-31 shows rental and ancillary collections of $1,262,520, real estate tax of $147,294, insurance of $49,098 and other recurring operating expenses of $196,392, for a reported NOI of $869,736. The roof replacement booked in repairs is $0 with no recurring repair component, so no reclassification between capital and operating expense is required. Reported NOI includes no management fee and no reserves and is a cash collections measure, not an annualized rent-roll total.

Revised underwritten NOI before reserves of $905,100 exceeds reported T-12 NOI by $35,364. The gap reflects the instructed stabilized all-suite gross potential (which assumes Suite 008 at scheduled rent) net of the 5% economic loss, less the 3% management fee that the historical ledger does not carry. Reimbursement income remains embedded in the prescribed assumptions and is not added twice.

The three measures remain distinct: reported historical NOI $869,736; underwritten NOI before reserves $905,100 (capitalization basis); underwritten NCF after reserves $902,700 (debt sizing basis).

Line	T-12 reported	Underwritten (revised)	Note
Gross potential rent	n/a (collections basis)	$1,405,500	$117,125 x 12
Economic loss (5%)	n/a	($70,275)	Unchanged rule
Other income	included in collections	$2,800	$350 x 8 suites
Total revenue / EGI	$1,262,520	$1,338,025	Different definitions
Real estate tax	($147,294)	($147,294)	Unchanged
Insurance	($49,098)	($49,098)	Unchanged
Other recurring expenses	($196,392)	($196,392)	Unchanged
Management fee	none reported	($40,141)	3% of EGI
Total expenses	($392,784)	($432,925)	
NOI before reserves	$869,736	$905,100	Historical vs underwritten
Replacement reserves	none reported	($2,400)	$300 x 8 suites
NCF after reserves	not reported	$902,700	Sizing basis

Debt Sizing and Sources / Uses

Loan tests are unchanged: 65.00% maximum LTV on capitalization value, 1.25x minimum DSCR on NCF, 9% minimum NCF debt yield, 30-year monthly amortization. The note rate remains 6.1000% while the underwriting floor, as revised, is 7.7500%; sizing continues to use the greater rate, so the floor still binds and now sits 165 basis points above the note rate. The annual debt service constant rises from 0.07983630 to 0.08596947 per dollar of loan.

The DSCR test remains the binding constraint at $8,400,194, below the LTV limit of $9,051,003 and the debt yield limit of $10,030,003. At that loan amount, implied LTV is 0.6033, implied NCF debt yield is 0.1075 and DSCR is 1.2500x. Interest-only payments in the first 24 months at the 6.1000% note rate would be approximately $512,412 per year; sizing takes no credit for that relief.

Sources and uses: proceeds of $8,400,194 less the 1% origination fee of $84,002, $45,000 of closing costs and the $7,800,000 payoff leave positive net cash-out of $471,192, down $614,183 from the prior revision. Coverage of the payoff remains intact but the cushion is materially thinner: with the revised cap and sizing rates, a decline of roughly 5.6% in NCF would erase the cash-out entirely. The workbook Sensitivity sheet spans sizing rates of 7.00% to 8.00% and cap rates of 6.00% to 7.00%; the LTV test becomes binding at lower sizing rates combined with higher cap rates.

Item	Amount
Capitalization value (NOI before reserves / 6.5000%)	$13,924,619
LTV limit at 65.00%	$9,051,003
DSCR limit at 1.25x on NCF, 7.7500% / 30 years	$8,400,194
Debt yield limit at 9% of NCF	$10,030,003
Maximum loan (binding test: DSCR)	$8,400,194
Origination fee (1%)	($84,002)
Closing costs	($45,000)
Existing loan payoff	($7,800,000)
Net cash-out	$471,192
Implied LTV / DSCR / debt yield	0.6033 / 1.2500 / 0.1075

Risks and Missing Diligence

Risk conclusions use present, absent or unresolved. The revision changes no risk conclusion, but it tightens two quantitative cushions.

Vacancy and lease-up: Suite 008 (22,000 SF, 12.5% of area, $175,200 of annual scheduled rent) remains physically vacant while the instructed gross potential assumes all suites at scheduled rent. The 5% economic loss remains thinner than current physical vacancy. No leasing schedule, downtime, free rent or TI/LC budget for Suite 008 is supplied.

Rate and value sensitivity: the sizing rate is now 165 basis points above the note rate and the cap rate is 25 basis points higher, which together removed $620,387 of loan capacity and $614,183 of cash-out despite slightly higher NOI. Proceeds remain DSCR-governed, so any further rate increase translates almost dollar-for-dollar into reduced proceeds.

Rollover concentration: all eight leases still expire 2029-08-31, beyond the 12-month near-term window but concentrated in a single date.

Documentation: the Suite 002 rent increase is evidenced by the manager's revised certified roll and the revision instruction; the underlying signed amendment or renewal document for Suite 002 is not in the packet and should be collected. Legal, environmental, property condition and title reviews remain incomplete; the packet states these are routine open items and provides no evidence of contamination, litigation, fraud or structural failure, and none is asserted here. Insurance evidence covers general liability only ($2,000,000 aggregate, 2026-07-01 to 2027-06-30); property and casualty limits, deductibles and lender-required coverages are unknown.

Not supplied and explicitly unknown: photographs, asking price or pricing guidance, market sales and rent comparables, sponsor or property management history, appraisal, tenant credit information, environmental and property condition reports, title and survey, tax appeal status, capital expenditure budget, Suite 008 leasing plan, and the signed Suite 002 amendment.

Risk field	Assessment	Basis
risk_pending_in_occupancy	present	manager-cover.pdf p.1 counts unpossessed pending occupants as leased; revised roll shows 0 pending suites, so no numerical effect once certified possession status is used
risk_near_term_rollover	absent	All active expirations 2029-08-31, beyond 12 months from 2026-09-01 (rent-roll-revised.xlsx F5:F12)
risk_missing_insurance	absent	insurance.pdf p.1 policy limit and term supplied; operating-statement.pdf p.1 insurance expense supplied
risk_capital_in_opex	absent	operating-statement.pdf p.1: roof replacement in repairs is $0 with no recurring repair component
risk_unsigned_rent_change	absent	No unsigned rent proposal in the packet; the Suite 002 increase comes from the manager's certified revised roll and revision-notice.pdf p.1; lease-correspondence.pdf p.1 confirms no amendment affects Suite 001
risk_temporary_free_rent	absent	lease-001.pdf p.1: no free-rent concession as of the evaluation date
risk_sizing_floor_binding	present	Revised floor 7.7500% exceeds the 6.1000% note rate; sizing uses the floor and DSCR binds
risk_refinance_shortfall	absent	Maximum loan $8,400,194 covers the $7,800,000 payoff plus $129,002 of fees and costs, leaving +$471,192

Source Notes

All figures come solely from the supplied packet. The revised certified roll dated 2026-09-01 controls occupancy and scheduled rent and supersedes the 2026-08-31 certified roll, which is retained for comparison on the workbook Changes sheet; the 2026-06-30 archive roll remains stale and excluded. Sizing rate and cap rate adjustments (+75 bps and +25 bps respectively) come from revision-notice.pdf. All other underwriting rules, expense amounts, loan tests, fees and the $7,800,000 payoff come from underwriting-instructions.pdf and are unchanged. Historical amounts come from operating-statement.pdf; the insurance limit from insurance.pdf; the

A/B/C group mapping and occupancy methodology caveat from manager-cover.pdf; open diligence from diligence-status.pdf.

Revised workbook cell references (artifacts/underwriting-v3.xlsx): inputs gross_potential_rent Inputs!B3, cap_rate Inputs!B12, sizing_rate Inputs!B13; outputs uw_egi Underwriting!B6, uw_noi Underwriting!B14, uw_ncf Underwriting!B16, capitalization_value Underwriting!B19, maximum_loan Debt!B9, net_cash_out Debt!B17. The workbook adds a Changes sheet reconciling prior to revised values and retains live formulas, the two-way sensitivity table and the source register. The prior deliverables (artifacts/underwriting-v2.xlsx and artifacts/memorandum-v2.pdf) remain in the audit archive and are not replaced.

Source-backed analysis. Assumptions remain subject to diligence.

File	Location	Use
rent-roll-revised.xlsx	Rent Roll A2:F12	Controlling roll as of 2026-09-01; Suite 002 at $14,825
revision-notice.pdf	p.1	Supersession, +$225 Suite 002, +75 bps sizing rate, +25 bps cap rate
rent-roll-certified.xlsx	Rent Roll A2:F12	Prior 2026-08-31 roll; superseded, used for change comparison
rent-roll-archive.xlsx	Rent Roll A2:F12	Stale 2026-06-30 roll; excluded
lease-001.pdf	p.1	Suite 001 executed terms; no free rent
lease-correspondence.pdf	p.1	No amendments or concessions for Suite 001
operating-statement.pdf	p.1	T-12 revenue, expenses, reported NOI $869,736
insurance.pdf	p.1	GL aggregate limit $2,000,000; 2026-07-01 to 2027-06-30
underwriting-instructions.pdf	p.1	Underwriting rules, loan tests, fees, payoff
manager-cover.pdf	p.1	Group mapping, occupancy methodology caveat, approved copy
diligence-status.pdf	p.1	Open routine diligence; no defect findings